connect

1. Award: 0.19 points

For companies that use FIFO, average cost, or any method other than LIFO or retail inventory method, inventory is valued at:

- Net realizable value.
- Cost.
- → The lower of cost or net realizable value.
- Replacement cost.

GAAP requires inventory to be valued at the lower of cost or net realizable value for companies that use FIFO, average cost, or any cost method other than LIFO or retail inventory method.

References

Multiple Choice	Learning Objective: 09-01 Understand and apply rules for measurement of inventory at the end of the reporting period.

2. Award: 0.19 points

For purposes of accounting for inventory, net realizable value is defined as:

- Estimated selling price.
- Estimated cost to replace the inventory.
- → Estimated selling price less any costs of completion, disposal, and transportation.
- Estimated selling price less expected returns by customers.

References

Multiple Choice	Learning Objective: 09-01 Understand and apply rules for measurement of inventory at the end of the reporting period.

3. Award: **0.19 points**

The following information pertains to one item of inventory of the Simon Company:

	Per unit
Cost	$ 180
Replacement cost	150
Selling price	195
Costs to sell	35

Applying the lower of cost or net realizable value rule, this item should be valued at:

- $195
- → $160
- $180
- $150

NRV of $160 ($195 − 35) is lower than cost of $180.

References

Multiple Choice	Learning Objective: 09-01 Understand and apply rules for measurement of inventory at the end of the reporting period.

4. Award: 0.19 points

Consider the following information pertaining to a company's inventory:

Product	Quantity	Cost	Net Realizable Value
Revolvers	16	$ 120	$ 150
Spurs	23	27	22
Hats	12	56	40

Applying the lower of cost or net realizable value rule to individual inventory items, at what amount should the company report its inventory?

- $3,213
- $2,996
- → $2,906
- $3,386

(16 × $120) + (23 × $22) + (12 × $40) = $2,906.

References

Multiple Choice	Learning Objective: 09-01 Understand and apply rules for measurement of inventory at the end of the reporting period.

5. Award: 0.19 points

A company has four types of products in its inventory. The company applies the rules under lower of cost and net realizable value to its inventory at the end of each year as shown below:

Product	Quantity	Cost	Net Realizable Value
A	15	$ 7	$ 8
B	10	15	14
C	20	8	6
D	15	11	10

The year-end adjustment based upon the information above would include a:

- Debit to Cost of Goods Sold $50.
- Debit to Inventory $65.
- → Debit to Cost of Goods Sold $65.
- Credit to Inventory $50.

Product B = ($15 − $14) × 10 = $10.
Product C = ($8 − $6) × 20 = $40.
Product D = ($11 − $10) × 15 = $15.
Total adjustment to cost of goods sold = $10 + $40 + $15 = $65.

References

Multiple Choice	Learning Objective: 09-01 Understand and apply rules for measurement of inventory at the end of the reporting period.

6. Award: **0.19 points**

When reporting inventory using the lower of cost or market method, market should not be *less than*:

- Net realizable value.
- → Net realizable value less a normal profit margin.
- Selling price.
- Replacement cost.

Market is the inventory's current replacement cost (by purchase or reproduction) except that market should not be less than net realizable value reduced by an allowance for an approximately normal profit margin (this forms a “floor” on market).

References

Multiple Choice	Learning Objective: 09-01 Understand and apply rules for measurement of inventory at the end of the reporting period.

7. Award: **0.19 points**

When reporting inventory using the lower of cost or market method, market should not be *more than*:

- → Net realizable value.
- Net realizable value less a normal profit margin.
- Replacement cost.
- Selling price.

Market is the inventory's current replacement cost (by purchase or reproduction) except that market should not be more than net realizable value (this forms a “ceiling” on market).

References

Multiple Choice	Learning Objective: 09-01 Understand and apply rules for measurement of inventory at the end of the reporting period.

8. Award: 0.19 points

The following information pertains to one item of inventory of the Simon Company:

	Per unit
Cost	$ 200
Replacement cost	170
Selling price	190
Disposal costs	10
Normal profit margin	30

Using the lower of cost or market method, this item should be valued at:

- $200
- → $170
- $190
- $150

Market = replacement cost ($170), which is below the ceiling ($190 − $10 = $180) and above the floor ($190 − $10 − $30 = $150).

References

Multiple Choice	Learning Objective: 09-01 Understand and apply rules for measurement of inventory at the end of the reporting period.

9. Award: **0.19 points**

Application of the lower of cost or market method is an example of which practice in accounting:

- Comparability.
- Historical cost.
- Revenue recognition.
- → Conservatism.

At the end of the year, if the value of inventory is below its cost, the loss is reported. If the value of inventory is above cost, no adjustment is made.

References

Multiple Choice	Learning Objective: 09-01 Understand and apply rules for measurement of inventory at the end of the reporting period.

10. Award: **0.19 points**

The records of California Marine Products, Incorporated, revealed the following information related to inventory destroyed in an earthquake:

Inventory, beginning of period	$ 300,000
Purchases to date of earthquake	160,000
Net sales to date of earthquake	450,000
Gross profit ratio	30%

The estimated amount of inventory destroyed by the earthquake is:

- $325,000
- → $145,000
- $10,000
- All of these answer choices are incorrect.

$300,000 (beginning balance) + $160,000 (purchases) − $315,000 (estimated cost of sales: $450,000 × 0.70).

References

Multiple Choice	Learning Objective: 09-02 Estimate ending inventory and cost of goods sold using the gross profit method.

11.

Award: **0.19 points**

The difference in the calculation of the cost-to-retail percentage applying the conventional retail method and the average cost method is that the average cost method:

- Includes markups.
- Excludes markdowns.
- → Includes markdowns.
- Excludes beginning inventory.

The conventional retail method includes net markups, but excludes net markdowns. The average cost method includes both net markups and net markdowns.

References

Multiple Choice	Learning Objective: 09-03 Estimate ending inventory and cost of goods sold using the retail inventory method, applying the various cost flow methods.

12. Award: 0.19 points

The difference in the calculation of the cost-to-retail percentage applying the LIFO method and the average cost method is that the average cost method:

- Includes markdowns.
- Excludes beginning inventory.
- → Includes beginning inventory.
- Excludes markdowns.

In the LIFO method, the cost-to-retail percentage is only computed on the current year's purchases.

References

Multiple Choice	Learning Objective: 09-03 Estimate ending inventory and cost of goods sold using the retail inventory method, applying the various cost flow methods.

13. Award: 0.19 points

The Toso Company uses the retail inventory method. The following information is available at the end of the year:

	Cost	Retail
Beginning inventory	$ 420,000	$ 750,000
Net purchases for the year	1,980,000	2,850,000
Net sales		2,940,000

Applying the *average cost retail inventory method*, Toso's inventory at the end of the year is estimated at:

- → $440,000.
- $435,000.
- $449,667.
- $458,526.

Ending inventory at retail: $660,000 [$750,000 (beginning inventory) + $2,850,000 (net purchases) − $2,940,000 (net sales)]. Cost ratio = 66.7% [$420,000 (beginning inventory) + $1,980,000 (net purchases)] ÷ [$750,000 (beginning inventory) + $2,850,000 (net purchases)]. Ending inventory at cost: $660,000 × 66.7% = $440,000.

References

Multiple Choice	Learning Objective: 09-03 Estimate ending inventory and cost of goods sold using the retail inventory method, applying the various cost flow methods.

14. Award: 0.19 points

The Toso Company uses the retail inventory method. The following information is available at the end of the year:

	Cost	Retail
Beginning inventory	$ 390,000	$ 650,000
Net purchases for the year	1,402,000	1,835,000
Net markups		75,000
Net markdowns		45,000
Net sales		1,845,000

Applying the *conventional retail inventory method*, Toso's inventory at the end of the year is estimated at:

- → $469,000.
- $395,159.
- $477,392.
- $405,035.

Ending inventory at retail: $670,000 [$650,000 (beginning inventory) + $1,835,000 (net purchases) + $75,000 (net markups) − $45,000 (net markdowns) − $1,845,000 (net sales)]. Cost ratio = 70% [$390,000 (beginning inventory) + $1,402,000 (net purchases)] ÷ [$650,000 (beginning inventory) + $1,835,000 (net purchases) + $75,000 (net markups)]. Ending inventory at cost: $670,000 × 70% = $469,000.

References

Multiple Choice	Learning Objective: 09-04 Explain how the retail inventory method can be made to approximate the lower of cost or market rule.

15. Award: 0.19 points

The Toso Company uses the retail inventory method. The following information is available at the end of the year:

	Cost	Retail
Beginning inventory	$ 390,000	$ 650,000
Net purchases for the year	1,402,000	1,835,000
Net markups		75,000
Net markdowns		45,000
Net sales		1,845,000

Applying the *average cost retail inventory method*, Toso's inventory at the end of the year is estimated at:

- → $477,392.
- $469,000.
- $405,035.
- $395,159.

Ending inventory at retail: $670,000 [$650,000 (beginning inventory) + $1,835,000 (net purchases) + $75,000 (net markups) − $45,000 (net markdowns) − $1,845,000 (net sales)]. Cost ratio = 71.25% [$390,000 (beginning inventory) + $1,402,000 (net purchases)] ÷ [$650,000 (beginning inventory) + $1,835,000 (net purchases) + $75,000 (net markups) − $45,000 (net markdowns)]. Ending inventory at cost: $670,000 × 71.2525% = $477,392.

References

Multiple Choice	Learning Objective: 09-03 Estimate ending inventory and cost of goods sold using the retail inventory method, applying the various cost flow methods.

16. Award: **0.19 points**

The Toso Company uses the retail inventory method. The following information is available at the end of the year:

	Cost	Retail
Beginning inventory	$ 390,000	$ 650,000
Purchases for the year	1,446,000	1,960,000
Freight-in	34,000	
Purchase returns	78,000	125,000
Net markups		75,000
Net markdowns		45,000
Net sales		1,845,000

Applying the *average cost retail inventory method*, Toso's inventory at the end of the year is estimated at:

- $395,159.
- $405,035.
- → $477,392.
- $469,000.

Net purchases at cost ($1,402,000 = $1,446,000 + $34,000 − $78,000) and retail ($1,835,000 = $1,960,000 − $125,000). Ending inventory at retail: $670,000 [$650,000 (beginning inventory) + $1,835,000 (net purchases) + $75,000 (net markups) − $45,000 (net markdowns) − $1,845,000 (net sales)]. Cost ratio = 71.25% [$390,000 (beginning inventory) + $1,402,000 (net purchases)] ÷ [$650,000 (beginning inventory) + $1,835,000 (net purchases) + $75,000 (net markups) − $45,000 (net markdowns)]. Ending inventory at cost: $670,000 × 71.2525% = $477,392.

References

Multiple Choice	Learning Objective: 09-03 Estimate ending inventory and cost of goods sold using the retail inventory method, applying the various cost flow methods.

17. Award: 0.19 points

The Toso Company uses the retail inventory method. The following information is available at the end of the year:

	Cost	Retail
Beginning inventory	$ 390,000	$ 650,000
Net purchases for the year	1,402,000	1,835,000
Net markups		75,000
Net markdowns		45,000
Net sales		1,845,000

Applying the *LIFO retail inventory method*, Toso's inventory at the end of the year is estimated at:

- $477,392.
- $469,000.
- $395,159.
- → $405,035.

Ending inventory at retail: $670,000 [$650,000 (beginning inventory) + $1,835,000 (net purchases) + $75,000 (net markups) − $45,000 (net markdowns) − $1,845,000 (net sales)]. The current year's layer: $20,000 ($670,000 − $650,000). Cost ratio: 75.17% [$1,402,000 (net purchases at cost)] ÷ [$1,835,000 (net purchases at retail) + $75,000 (net markups) − $45,000 (net markdowns)]. Ending inventory at cost: $390,000 (beginning inventory at cost) + $15,035 ($20,000 × 75.17%).

References

Multiple Choice	Learning Objective: 09-03 Estimate ending inventory and cost of goods sold using the retail inventory method, applying the various cost flow methods.

18. Award: 0.19 points

The Toso Company uses the retail inventory method. The following information is available at the end of the year:

	Cost	Retail
Beginning inventory	$ 390,000	$ 650,000
Net purchases for the year	1,402,000	1,835,000
Net markups		75,000
Net markdowns		45,000
Net sales		1,845,000

Assume that at the beginning of the year Toso adopted the *dollar-value LIFO retail inventory method* and that the retail price index at the end of the year is 1.02. Toso's inventory at the end of the year is estimated at:

- → $395,262.
- $477,392.
- $405,035.
- $469,000.

Ending inventory at retail: $670,000 [$650,000 (beginning inventory) + $1,835,000 (net purchases) + $75,000 (net markups) − $45,000 (net markdowns) − $1,845,000 (net sales)]. Ending inventory at retail at the beginning of the year retail prices: $656,863 ($670,000 ÷ 1.02). The current year's layer at the beginning of the year retail prices: $6,863 ($656,863 − $650,000). Cost ratio: 75.17% [$1,402,000 (net purchases at cost)] ÷ [$1,835,000 (net purchases at retail) + $75,000 (net markups) − $45,000 (net markdowns)]. Ending inventory at cost: $390,000 (beginning inventory at cost) + $5,262 ($6,863 × 1.02 × 75.17%).

References

Multiple Choice	Learning Objective: 09-05 Determine ending inventory using the dollar-value LIFO retail inventory method.

19. Award: 0.19 points

For the retail inventory method, normal spoilage of inventory is treated as:

- Deducted in the cost column before calculating the cost-to-retail ratio.
- Deducted in the retail column before calculating the cost-to-retail ratio.
- → Deducted in the retail column after calculating the cost-to-retail ratio.
- Deducted in the cost column after calculating the cost-to-retail ratio.

References

Multiple Choice	Learning Objective: 09-03 Estimate ending inventory and cost of goods sold using the retail inventory method, applying the various cost flow methods.

20. Award: 0.19 points

If a company overstates its ending balance of inventory in Year 1 and it records inventory correctly in year Year 2, which one of the following is true?

- Cost of goods sold is overstated in Year 1.
- Net income is overstated in Year 2.
- → Retained earnings is overstated in Year 1.
- Net income is understated in Year 1.

The overstatement of ending inventory in Year 1 understates cost of goods sold in Year 1, which overstates gross profit and therefore retained earnings in Year 1.

References

Multiple Choice	Learning Objective: 09-07 Explain the appropriate accounting treatment required when an inventory error is discovered.

21. Award: 0.19 points

Harvey's Junk Jewelry uses the LIFO retail method to estimate ending inventory. Listed below is inventory information for the current year.

	Cost	Retail
Beginning inventory	$ 15,000	$ 23,000
Purchases	49,000	78,000
Freight-in	2,500	
Purchase returns	1,700	2,600
Net markups		2,000
Net markdowns		4,100
Net sales		70,600
Employee discounts		700

The numerator for the current year's cost-to-retail percentage is:

- → $49,800.
- $48,100.
- $64,800.
- $47,700.

Beginning inventory	$ 15,000	$ 23,0(
Plus: Purchases	49,000	78,0(
Freight-in	2,500	
Less: Purchases returns	(1,700)	(2,6(
Plus: Net markups		2,0(
Less: Net markdowns		(4,1(
Goods available for sale (excluding beginning inventory)	49,800	73,3(
Goods available for sale (including beginning inventory)	64,800	96,3(

References

Multiple Choice	Learning Objective: 09-03 Estimate ending inventory and cost of goods sold using the retail inventory method, applying the various cost flow methods.
Difficulty: 3 Hard	Learning Objective: 09-04 Explain how the retail inventory method can be made to approximate the lower of cost or market rule.

22. Award: 0.19 points

Harvey's Junk Jewelry uses the LIFO retail method to estimate ending inventory. Listed below is inventory information for the current year.

	Cost	Retail
Beginning inventory	$ 15,200	$ 23,200
Purchases	49,200	78,200
Freight-in	2,700	
Purchase returns	1,900	2,800
Net markups		2,100
Net markdowns		4,300
Net sales		70,800
Employee discounts		900

The numerator for the current year's cost-to-retail percentage is:

- $48,100.
- $65,200.
- $47,800.
- → $50,000.

Beginning inventory	$ 15,200	$ 23,2(
Plus: Purchases	49,200	78,2(
Freight-in	2,700	
Less: Purchases returns	(1,900)	(2,8(
Plus: Net markups		2,1(
Less: Net markdowns		(4,3(
Goods available for sale (excluding beginning inventory)	50,000	73,2(
Goods available for sale (including beginning inventory)	65,200	96,4(

References

Multiple Choice

Learning Objective: 09-03 Estimate ending inventory and cost of goods sold using the retail inventory method, applying the various cost flow methods.

Difficulty: 3 Hard

Learning Objective: 09-04 Explain how the retail inventory method can be made to approximate the lower of cost or market rule.

23. Award: 0.19 points

A company through no fault of its own, lost an entire building due to an earthquake on May 1. In preparing its insurance claim on the inventory loss, the company developed the following data: Inventory January 1, $390,000; sales and purchases from January 1 to May 1, $1,200,000 and $915,000, respectively. The company consistently reports a 40% gross profit. The estimated inventory on May 1 is:

- $550,000.
- → $585,000.
- $586,000.
- $645,000.

Beginning inventory		$ 390,000
Plus: Net purchases		915,000
Goods available for sale		1,305,000
Less: Cost of goods sold:		
Net sales	$ 1,200,000	
Less: Estimated gross profit	(480,000)	
Estimated cost of goods sold		(720,000)
Estimated ending inventory		$ 585,000

References

Multiple Choice Difficulty: 3 Hard Learning Objective: 09-02 Estimate ending inventory and cost of goods sold using the gross profit method.

24. Award: 0.19 points

Data related to the inventories of Kimzey Medical Supply are presented below:

	Surgical Equipment	Surgical Supplies	Rehab Equipment	Rehab S
Selling price	$ 265	$ 125	$ 345	$
Cost	175	95	255	
Replacement cost	245	85	240	
Costs to sell	32	6	38	
Normal gross profit ratio	20%	20%	20%	

In applying the lower of cost or market rule, the inventory of rehab equipment would be valued at:

- $240.
- $150.
- $232.
- $307.

RC = $240
NRV = $345 − $38 = $307
NRV − Normal profit margin = $307 − ($345 × 20%) = $238
Designated market = RC = $240
Cost = $255
Market is lower than cost.

References

Multiple Choice | Difficulty: 3 Hard | Learning Objective: 09-01 Understand and apply rules for measurement of inventory at the end of the reporting period.

25. Award: 0.19 points

A company uses the conventional retail inventory method to account for inventory. The following information relates to current year's operations:

	Cost	Retail
Beginning inventory and purchases	$ 372,000	$ 557,000
Net markups		43,000
Net markdowns		33,000
Net sales		506,000

What amount should be reported as cost of goods sold for the year?

- → $334,180.
- $331,260.
- $331,979.
- None of the other answer choices are correct.

	Cost	Retail
Beginning inventory plus purchases	$ 372,000	$ 557,000
Net markups		43,000
		600,000
Cost-to-retail percentage: $372,000 ÷ $600,000 = 62%		
Less: Net markdowns		(33,000)
Goods available for sale	372,000	567,000
Less: Net sales		(506,000)
Estimated ending inventory at retail		$ 61,000
Estimated ending inventory at cost (62% × $61,000)	(37,820)	
Estimated cost of goods sold	$ 334,180	

References

Multiple Choice Difficulty: 3 Hard Learning Objective: 09-04 Explain how the retail inventory method can be made to approximate the lower of cost or market rule.

26. Award: 0.25 points

A company uses the conventional retail inventory method to account for inventory. The following information relates to current year's operations:

	Cost	Retail
Beginning inventory and purchases	$ 313,500	$ 540,000
Net markups		30,000
Net markdowns		20,000
Net sales		480,000

What amount should be reported as cost of goods sold for the year?

- $273,600
- $272,861
- → $275,000
- None of the other answer choices are correct.

	Cost	Retail
Beginning inventory plus purchases	$ 313,500	$ 540,000
Net markups		30,000
		570,000
Cost-to-retail percentage: $313,500 ÷ $570,000 = 55%		
Less: Net markdowns		(20,000)
Goods available for sale	313,500	550,000
Less: Net sales		(480,000)
Estimated ending inventory at retail		$ 70,000
Estimated ending inventory at cost (55% × $70,000)	(38,500)	
Estimated cost of goods sold	$ 275,000	

References

Multiple Choice Difficulty: 3 Hard Learning Objective: 09-04 Explain how the retail inventory method can be made to approximate the lower of cost or market rule.